

trading around \$19.80 per share, jumped up just as soon as the press release hit the newswires. By the end of trading on Wednesday, it settled at almost \$21.30 per share. Clearly then, the shareholders and the market liked the news and rewarded GM by bidding up its share price.

Hundreds of companies have made the same move as GM in the last few years, and most of them have been similarly cheered on by the market. Major corporations are basically moving away from providing pension income for life. They are shifting the responsibility to you personally. This is why it is now more important than ever for you to answer this question: *Are you a stock or a bond?*

How Do Pensions Work, Exactly?

At its essence, a traditional defined benefit (DB) pension plan is the easiest way of generating and sustaining a retirement income. When you retire from a DB plan, the employer via the pension plan administrator uses a simple formula to determine your pension entitlement. They add up the number of years you have been working at the company—for example, 30 years—and they multiply this number by an accrual rate—for example 2%. The product of these two numbers is called your *salary replacement ratio*, which in the preceding example is $2\% \times 30 = 60\%$. And so, your annual pension income, which you will receive for the rest of your life as long as you live, is 60% of your annual salary measured on or near the day you retired. In the preceding case, if you retired at a salary of \$50,000 per year, your pension would be 60% of that amount, which is \$30,000 of pension income as long as you live.

Now sure, a number of DB pension plans have slightly more complicated formulas that are used to arrive at your pension income entitlement. The accrual rate of, say, 2% might vary depending on when you joined the plan, how much you earn, and perhaps even your age. In some cases an average of your salary in the last few years or perhaps your best year's salary is used for the final calculation. Some pension plans adjust your annual pension income every year by inflation, whereas others don't, which then results in the declining purchasing power of retirees over time. Nevertheless, regardless of the minutia, your initial income under a DB pension plan is computed by multiply-